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BOOK

# QRU Pivot Points in Day Trading — Book

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A Finance learning product

Foundational • General public

# QRU Pivot Points in Day Trading - Book - Free Preview

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# QRU Pivot Points in Day Trading

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## Finding Turning Points and Drawing Key Lines with Sports and Football-Field Analogies

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## Copyright and Use Notice

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This book is for education only. It explains how traders commonly identify possible turning points and key chart levels. It is not financial advice, a recommendation to trade, or a guarantee of results. Day trading involves substantial risk, and losses can happen quickly.

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Day traders use charts to study how prices move during the trading day. One of the most important skills they learn is how to identify turning points-places where price may stop rising, stop falling, pause, reverse, or accelerate.

These possible turning points are often called pivot points.

This book explains, in introductory language:

- What pivot points are
- How traders locate important highs and lows
- How traders draw key chart lines
- Why support and resistance matter
- How sports and football-field analogies can make charts easier to understand
- Why pivot points are useful but never certain

The goal is not to turn you into a day trader overnight. The goal is to help you understand what traders are looking at when they say:

"Price is near a pivot."

"That level acted as resistance."

"The market bounced off support."

"Watch the high of the day."

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A chart may look like a confusing line or a field of red and green candles, but traders often see it as a live contest.

Think of a market as a game between two teams:

- Buyers want the price to go up.
- Sellers want the price to go down.

Every trade is like a play on the field. The price moves depending on which side is stronger at

that moment.

Sometimes buyers push forward. Sometimes sellers push back. Sometimes both sides fight around the same area for a while.

A pivot point is an area where the game may change direction.

It is like a spot on the field where momentum shifts.

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A pivot point is a price area that traders treat as important because price previously turned, paused, reacted, or may react there again.

In plain language:

A pivot point is a place on the chart where traders watch to see if price will turn, bounce, break through, or stall.

Pivot points are not magic numbers. They are reference points.

They help traders ask better questions:

- Is price likely to bounce here?
- Is price likely to break through?
- Are buyers defending this level?
- Are sellers blocking price at this level?
- Is this area important because price reacted here before?

Pivot points help traders organize the chart.

Without them, the chart can look like random movement. With them, the chart begins to look like a field with zones, boundaries, and pressure points.

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The phrase pivot point can mean two related but different things.

## 4.1 Swing Pivot Points

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A swing pivot is a visible turning point on the chart.

Examples:

- A price rises, stops, and begins falling. That high may be a swing high.
- A price falls, stops, and begins rising. That low may be a swing low.

These are visual pivot points.

Traders use them to draw:

- Support lines
- Resistance lines
- Trendlines
- Price zones
- Breakout levels

## 4.2 Calculated Pivot Points

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A calculated pivot point is created using a formula based on previous price data, often the previous day's:

- High
- Low
- Close

These calculated levels are often called floor-trader pivots or classic pivot points.

They produce levels such as:

- Pivot Point, often written as P
- Resistance levels, such as R1, R2, R3
- Support levels, such as S1, S2, S3

Both types are used by traders, but they are not the same.

| Type | What It Means | How It Is Found |

|---|---|---|

| Swing pivot | A visible turning point | By looking at highs and lows on the chart |

| Calculated pivot | A formula-based level | By using prior high, low, and close prices |

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Imagine a football field.

The teams are trying to move the ball.

- Buyers are trying to move the ball toward the opponent's end zone: higher prices.
- Sellers are trying to move the ball the other way: lower prices.

The field has yard lines. Those yard lines help everyone understand position.

In trading, pivot points and support/resistance lines work like yard lines.

They help traders answer:

- Where is price now?

- What important level is nearby?
- Has price crossed into new territory?
- Did price get rejected at a key line?
- Is one team gaining control?

## **The 50-Yard Line**

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The middle of the field is often a key reference point.

In trading, a main pivot level can act like the 50-yard line.

If price is above it, traders may say buyers have the advantage for the moment.

If price is below it, traders may say sellers have the advantage for the moment.

This is not always true, and it is not a guarantee. But it is a common way traders frame the action.

## **The Goal Line**

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A major previous high can act like a goal line for buyers.

A major previous low can act like a goal line for sellers.

When price approaches these levels, traders watch carefully:

- Will it score by breaking through?
- Will it get stopped at the line?
- Will the other team take control?

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The easiest pivot points to understand are swing highs and swing lows.

## **6.1 Swing High**

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A swing high forms when price moves up, reaches a peak, and then moves down.

Simple example:

text

Price rises ? reaches a high ? falls

On a chart, it may look like a small mountain peak.

A swing high can become important because it shows a place where buyers previously lost

strength and sellers pushed back.

Traders may draw a line across that high and call it resistance.

## 6.2 Swing Low

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A swing low forms when price moves down, reaches a low, and then moves up.

Simple example:

text

Price falls ? reaches a low ? rises

On a chart, it may look like a valley.

A swing low can become important because it shows a place where sellers previously lost strength and buyers stepped in.

Traders may draw a line across that low and call it support.



Two of the most important chart concepts are support and resistance.

## 7.1 Support

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Support is a price area where buyers have previously been strong enough to stop or slow a decline.

Think of support as the defense making a stand near its own goal line.

Price falls toward support, and traders ask:

"Will buyers defend this area again?"

Support does not mean price must bounce. It means traders are watching for a possible reaction.

## 7.2 Resistance

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Resistance is a price area where sellers have previously been strong enough to stop or slow a rise.

Think of resistance as the defense blocking the offense from advancing.

Price rises toward resistance, and traders ask:

"Will sellers defend this area again?"

Resistance does not mean price must fall. It means price is reaching an area where selling pressure may appear.

## 7.3 A Key Rule

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Support and resistance are usually better understood as zones, not exact lines.

A beginner may think:

"The price must turn exactly at \$50.00."

A more experienced trader may think:

"The \$49.80 to \$50.20 area has been important before, so I will watch how price behaves there."

Markets are not perfectly clean. Price can overshoot, dip below, spike above, and then return.

That is why many traders think in zones.

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Drawing chart lines is not about decorating a chart. It is about identifying areas where price has shown importance.

Here is a simple process traders often use.

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## Step 1: Find the Obvious Highs and Lows

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Start by looking for the clearest turning points.

Ask:

- Where did price rise and then clearly fall?
- Where did price fall and then clearly rise?
- Where did price react strongly?
- Where did price pause several times?

Obvious levels matter because many traders may see them too.

In trading, a level that many people notice can become more important because more decisions may happen there.

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## Step 2: Mark the High of the Day and Low of the Day

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Day traders often pay attention to:

- High of day, sometimes written as HOD
- Low of day, sometimes written as LOD

These are important because they show the current day's battlefield extremes.

Using the football analogy:

- High of day is the farthest buyers have pushed the ball.
- Low of day is the farthest sellers have pushed the ball.

If price approaches the high of day again, traders may watch for:

- A breakout above it
- A rejection from it
- A failed breakout
- A pause or consolidation

If price approaches the low of day again, traders may watch for:

- A breakdown below it
  - A bounce from it
  - A failed breakdown
  - A pause or consolidation
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### **Step 3: Look at Previous Day High, Low, and Close**

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Day traders often mark the previous day's:

- High
- Low
- Close

These levels matter because they give context.

For example:

- If today's price opens above yesterday's high, buyers may appear strong at first.
- If today's price drops below yesterday's low, sellers may appear strong at first.
- If price moves around yesterday's close, traders may see it as a balance area.

Again, none of these observations guarantee what will happen next.

They are context clues.

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## Step 4: Draw Horizontal Lines Through Repeated Reactions

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A level becomes more interesting when price reacts there more than once.

For example:

- Price rises to \$100 and falls.
- Later, price rises to \$100 again and falls.
- Later, price approaches \$100 and pauses.

A trader may draw a resistance line near \$100.

The logic is simple:

If price has reacted there before, it may react there again.

But "may" is the key word.



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